GMS WEEKLY

Your Source for Recycling News

December 31st, 2021
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Week 52

Highlights:

- **Happy 2022.**
- **Prices double.**
- **Decade long highs.**
- **Price hold?**
- **Supply?**

QUOTE of the WEEK

"I never dreamed about success. I worked for it."

– *Estee Lauder*

MARKET COMMENTARY

WELCOME 2022!

With markets down, a quieter festive period has ensued with no fresh (market or otherwise) sales having reportedly taken place and a calmer period of consolidation transpired in the last week of 2021, as the industry reflects on an **extraordinary** year gone by.

The sub-continent markets more than doubled since the lows seen at the height of the Coronavirus pandemic last year, as levels managed to hit decade long highs of about USD 650/LDT, up from the lows of USD 260/LDT or so, seen during the height of the pandemic halfway through 2020 – eventually transpiring into gains of almost USD 400/LDT!

Even though levels have crushingly cooled off by almost USD 50/LDT since the peaks seen in September / October of this year, we are still seeing levels above USD 600/LDT, in what remains a decade-long high for the ship recycling industry in the Indian sub-continent.

Turkish levels too displayed impressive improvements during the second half of 2021, with levels suddenly jumping USD 65/Ton from the average USD 300/Ton figure. While no market sales have reportedly taken place at these highs, we have certainly seen the Aliaga Buyers not starving for tonnage through the year either, given the number of cruise / offshore vessels delivered here for strictly green (or otherwise) recycling.

Overall, the hope and (general) consensus is that these prices should endure going well into 2022 Q1, such is the (overall) bullish state of steel prices at present – despite a couple of currencies still trembling with inconsistencies and the fact that China is importing, not exporting steel. Construction projects and growth throughout the sub-continent also means demand remains firm and we will likely see prices maintained (for the short term at the very least).

The big question for the New Year is, which sector will be the primary supply of ships for 2022? Many are expecting the beleaguered Tanker sector to turn around, whilst dry Bulk and Containers continue to impress. So, the question on everyone's mind is whether we are going to continue see a shortage in supply despite recyclers finally being eager for tonnage?

For week 52 of 2021, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh	Declining	590 / LDT	600 / LDT	610 / LDT
2	Pakistan	Declining	580 / LDT	590 / LDT	600 / LDT
3	India	Declining	550 / LDT	560 / LDT	570 / LDT
4	Turkey	Steady	330 / LDT	340 / LDT	350 / LDT

All at GMS would like to wish our readers a Happy and Prosperous Year ahead!

BANGLADESH

FEW SALES!

Demand good.

There have only been a few sales in the lead up to the Christmas / New Year holidays in Bangladesh and even those that did take place, were at the higher numbers before the supposed fall.

Therefore, it is clear that demand in Chattogram is still ripe for tonnage and it would not be surprising at all to see prices push on again going past the New Year, such has been the paucity of new units for sale of late.

Supply weak.

Local steel plate prices have enjoyed a surprising degree of stability over recent weeks and the overall decline in the recent past has not been significant enough to justify some of the lower numbers being offered by opportunistic end Buyers, and it certainly is only a matter of time before Bangladeshi Buyers are back to doing their best in 2022.

NO MARKET SALES REPORTED

INDIA

MIND THE GAP!

The Indian market had recently declined by over USD 50/LDT over the last month due to falling steel plate prices that declined in excess of USD 60/Ton, leaving the Alang market a good way off their Bangladeshi and Pakistani brethren.

Steel decline.

A collection of deals of more specialist units (non-ferrous laden stainless-steel tankers in particular) and HKC only green vessels have reportedly been concluded in the run up to Christmas, else, Alang Buyers are simply unable to compete on standard units in the sub-continent at present.

Fewer vessels.

However, plate prices have been relatively stable over the last couple of weeks and even reported a USD 13/Ton increase as we enter 2022. The currency too has firmed as it approaches Rs. 74.3X against the U.S. Dollar.

As such, even though it has been a quieter overall year in Alang (compared to 2020), with far fewer HKC vessels being concluded and a diet consisting primarily of specialist units (Offshore, Passenger, Reefers, stainless-steel tankers, etc.), we do expect levels to start firming in Alang once again (especially as the anticipated Q1 / Feb – Mar firming comes around).

NO MARKET SALES REPORTED

PAKISTAN

IMPROVING!

In contention.

Despite trying to talk down the market in order to secure a low-priced deal away from Indian Buyers, Pakistani Recyclers have finally had to make some improvements at the bidding tables, in order to compete with what has been a rampant Bangladeshi market for a majority of this year.

Indeed, there have been occasions this year when Gadani has led the way as the top-placed sub-continent destination and has secured several high-profile and higher LDT vessels as a result of their offerings – one reportedly even taken away from Bangladeshi hands despite being more suitable positioned for a Chattogram delivery.

Encouraging.

It is therefore encouraging going into the New Year for the Pakistani market, having somewhat recovered (or at least become used to) some of the frantic and historical currency depreciations witnessed throughout the year and will be hoping for a positive start to 2022!

NO MARKET SALES REPORTED

TURKEY

STABLE MIRAGE?

Amidst the ongoing record-breaking volatility of the Turkish Lira (breaching all-time lows in excess of TRY 18.30 against the U.S. Dollar) and creating an increased sense of concern in the minds of domestic Recyclers – Aliaga has surprisingly gone through a week of stability as the exchange rate ends at a far firmer TRY 13.5 and reportedly no fluctuations in local and import steel prices as well.

Easy week.

While Turkey has had a rather busy Q1 and Q2 of 2021 taking deliveries of numerous cruise vessels, offshore units, and other large LDT units intended for EUSRR recycling, the breadth of local deliveries has kept domestic demand relatively in check, despite prices jumping a whopping USD 65/Ton During Q3 – Q4, on the back of a similar jump in import steel prices.

Neutral to positive.

Notwithstanding, despite the fact that the recent Lira fluctuations certainly shuddered local sentiments, local offerings on vessels have not declined as drastically, with levels just USD 10/Ton shy off recent peaks.

Similar to the sub-continent markets, the outlook for Turkey does remain neutral to positive, barring any other nosediving contests for the Lira or that may deliver a few unannounced splashes.

NO MARKET SALES REPORTED

AMAZING FACTS

- *The world's longest musical piece lasts 639 years.*
- *Neptune was the first planet to get its existence predicted by calculations before it was actually seen by a telescope.*
- *You're more likely to become the President than you are to win the lottery.*
- *Three presidents, all Founding Fathers—John Adams, Thomas Jefferson, and James Monroe—died on July 4. Presidents Adams and Jefferson also died the same year, 1826; President Monroe died in 1831. Coincidence? You decide.*
- *The Barbie doll's full name is Barbara Millicent Roberts, from Willows, Wisconsin. Her birthday is March 9, 1959, when she was first displayed at the New York Toy Fair.*
- *There actually aren't "57 varieties" of Heinz ketchup, and never were. Company founder H.J. Heinz thought his product should have a number, and he liked 57. Hint: Hit the glass bottle on the "57," not the bottom, to get the ketchup to flow.*
- *One of President John Tyler's grandsons is still alive today—and he was born in 1790. How is this possible? President Tyler, the 10th US president, was 63 when his son Lyon Tyler was born in 1853; Lyon's son was born when he was 75. President Tyler's living grandson, Harrison Tyler is 92. Lyon's other son Lyon Jr. passed away in 2020 at the age of 95. The Tyler family still maintains the President's home, Sherwood Forest Plantation in Virginia.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
January 04 – Makra Sakranti January 26 – Republic Day	January 01 – January 08 January 16 – January 23 January 29 – February 06

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
No holidays in January	January 02 – January 05 January 18 – January 21

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
January 01 – 03 – New Year Holiday	**No holidays in January**	**No holidays in January.**

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ALANG - Port Position as of December 31, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Bratya Stoyanovy	3,484	Fishing	Arrived December 24
2	Coral	2,763	Chemical Tanker	Arrived December 03
3	Dodo	3,484	Vehicle Carrier	Arrived December 16
4	Harriet	2,292	Tanker	Arrived December 09
5	Raju	13,779	Oil Tanker	Arrived December 25
6	Sea Golden	2,830	Chemical Tanker	Arrived December 03
Total Tonnage		**28,632**		

CHATTOGRAM - Port Position as of December 31, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*D 1*	*9,212*	*Tanker*	*Beached December 30*
2	Etc Mena	41,402	Tanker	Arrived December 23
3	Ladinda (Under Tow)	21,474	FSO	Arrived December 15
4	Madame	29,932	LNG	Arrived December 27
5	Ocean 68	2,369	General Cargo	Arrived November 23
6	Ocean Ruby	22,450	Tanker	Arrived December 28
7	SOS	16,696	Tanker	Arrived December 24
8	Tai Xing	2,036	Reefer	Arrived December 28
Total Tonnage		**145,571**		

GADANI - Port Position as of December 31, 2021

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic Enterprise	4,083	Accommodation Ship	Arrived December 07
2	Brave Worth	7,769	Tanker	Arrived December 18
3	*Force On*	*7,140*	*Bulk Carrier*	*Beached December 29*
4	Ind	6,486	Tanker	Arrived December 20
5	Louisa	7,798	Tanker	Arrived December 11
6	*Poddar 1*	*2,030*	*Barge*	*Beached December 29*
7	Queen Ematha	4,074	Tanker	Arrived December 15
Total Tonnage		**39,380**		

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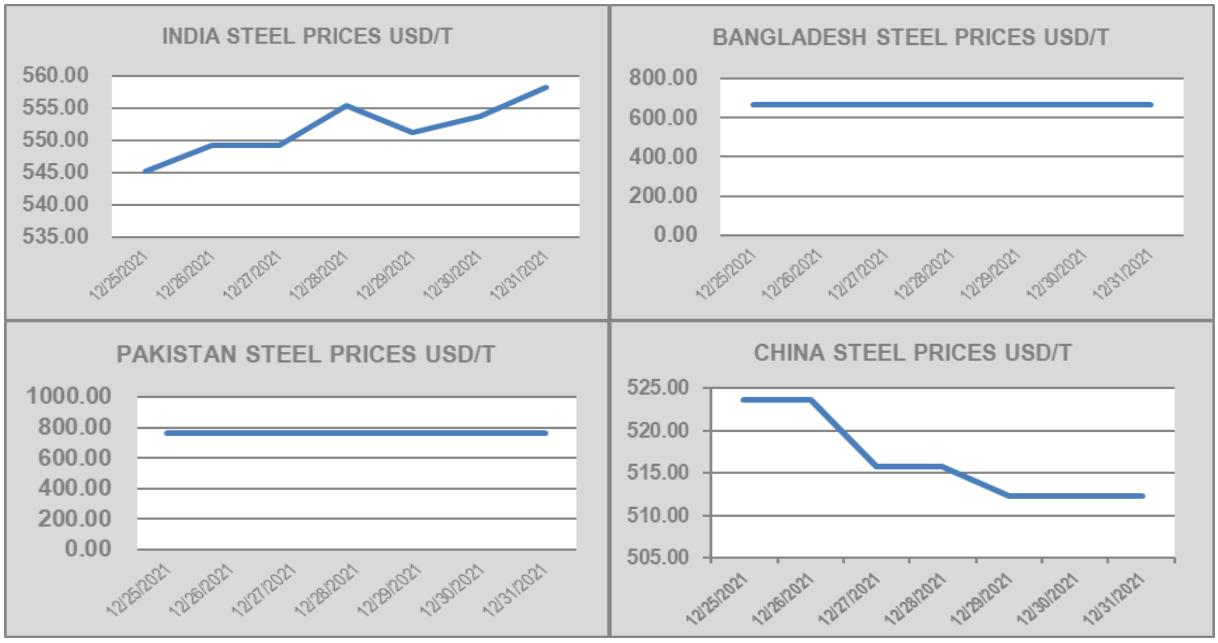
DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/25/2021	545.19	40,900.00	762.76	136,000.00	666.67	57,000.00	523.61
12/26/2021	549.19	41,200.00	762.76	136,000.00	666.67	57,000.00	523.61
12/27/2021	549.33	41,200.00	762.76	136,000.00	666.67	57,000.00	515.81
12/28/2021	555.41	41,600.00	762.76	136,000.00	666.67	57,000.00	515.81
12/29/2021	551.24	41,200.00	762.76	136,000.00	666.67	57,000.00	512.28
12/30/2021	553.69	41,200.00	762.76	136,000.00	666.67	57,000.00	512.28
12/31/2021	558.17	41,500.00	762.76	136,000.00	666.67	57,000.00	512.28



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